

Rating
HoldAsia
Hong KongConsumer
Retail / Wholesale TradeCompany
Li & FungReuters
0494.HKBloomberg
494 HKExchange
HSITicker
0494ADR
LFUGYISIN
US5018971029Date
19 June 2019

Company Update

Price at 17 Jun 2019 (HKD)	1.10
Price target - 12mth (HKD)	1.52
52-week range (HKD)	3.01 - 1.10
HANG SENG INDEX	27,227

2019 Investor Day key takeaways

Valuation & Risks

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Li & Fung hosted an Investor Day on 14 June. The key takeaways are:

- **Trade war is leading to a diversified sourcing strategy outside of China** - LF will benefit, with potentially more new customers signing sourcing contracts with them in 2H19, from which it would benefit in 2020.
- **Restructuring SCS with new management** - it has aligned its goals on operations and KPIs in an effort to achieve operational excellence. Cost savings will be reflected in 2020. It will have two engines as sales drivers: 1) the restructuring of its existing model and 2) its digital platform. It is gaining momentum right now.
- **3D digital design update** - 25% of LF clients are using the service, and for a small portion this is a paid model.
- **Logistics continues its strong momentum** with multiple growth drivers. The timeline for a spin-off remains unchanged (i.e. before end of year).
- **Solid capital structure** - deleveraging will continue.

DB view: Hold retained on inexpensive valuation but looking for a turn in sales trend

We see 2019 as a restructuring year for LF's SCS business, preparing for its next three-year plan starting 2020. The Investor Day reconfirmed management's strategy. We believe the trade war issue might provide better opportunities for LF to acquire new customers from 2H19, which is hoped will reverse the poor sales trend (due to shorter lead times). Should the company be able to provide more concrete developments in its interim results announcement in Aug, we believe this will give investors greater confidence. Meanwhile, the listing plan for the logistics business on the Hong Kong Stock Exchange in 2H19 remains unchanged.

In our model, we have not factored in 1) new clients who seek LF's help to source outside of China or 2) any one-off restructuring costs in 2019. Our TP translates into a core P/E of 13x/12x FY19/20F with potential yields of 4-5%. We base our TP on Deutsche Bank's Hong Kong COE of 7.5% (RFR of 2.7%, ERP of 4.9%) and a beta of 1.3x, which is at the high end of the beta range used for the consumer sector (1.0-1.3x). We assume long-term growth of 0%, which is in line with our 0-2.5% forecast growth rate for HK/China consumer stocks. Upside risks: 1) better-than-expected reorganization progress and 2) the signing of new accounts. Downside risks: 1) loss of existing clients and 2) new initiatives failing to drive sales growth.

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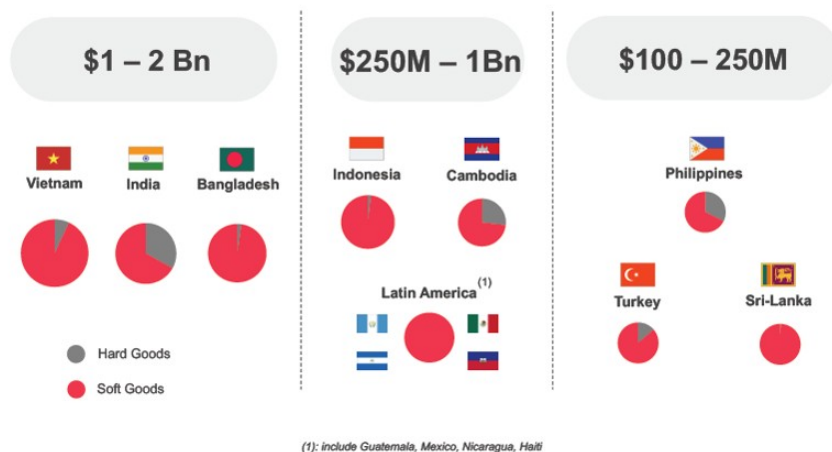


1. Trade War - reiterated its capability in sourcing outside of China

- From 2005 to 2018, China was the factory of the world and it has thus simplified the sourcing landscape. The current US-Sino relationship calls for US brands/retailers or international brands who have sourced products from China for its US market to diversify their sourcing base away from China. This is the biggest opportunity in the last 20 years. LF has a **global network of more than 50 sourcing countries** (20-30 relationships) to **neutralize the impact of tariff hikes**.
- If no deal is reached at G20 later this month, the US could announce 25% tariffs to be imposed on the remaining USD300bn goods from China. Should this finally be executed it would impact all consumer items, but LF would be able to help its customers neutralize the impact.
- From 2019, regardless of whether there is a trade deal or not, brands and retailers will need to leverage vendors in multiple countries** (e.g. Vietnam, Cambodia, Indonesia, etc.) to secure production capacity and shift production away from China. Within China, bigger vendors might consolidate the market by absorbing orders from smaller vendors. European retailers/brands will look to China as a sourcing base, as it is likely that US orders will shift to non-China sourcing.
- LF's production from China is estimated to be lower than 50% going forward** (51% in 2018 vs. 54% in 2016), with reduced penetration in China.
- Large volumes of orders will be absorbed by non-China-based sourcing vendors.** Meanwhile, **EU clients will also start paying attention** to China. LF could also help Chinese entrepreneurs set up new factories outside of China (via raw material sourcing, and LF logistics can help on transportation). This is an opportunity for LF to leverage its global network to take market share.

Li & Fung's sourcing capability outside of China - USD5bn annual capacity.

Figure 1: Sizable production volume outside of China



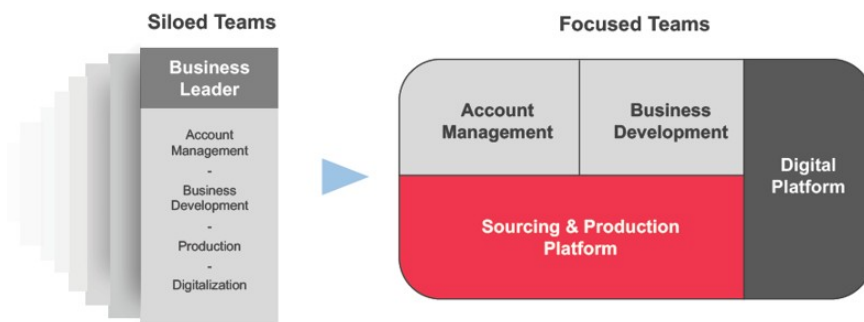
Source : 2019 Investor Day company presentation

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2. Restructuring SCS with new management, from silos to an integrated group - a challenge but work in progress

Figure 2: Structure - reorganization



Source : 2019 Investor Day company presentation, overview, page 8

- **For the first time, the new COO met investors and shared his view on restructuring LF.** Wilson Zhu joined LF in Oct 2018 as COO, after spending over 30 years on the client side's sourcing divisions. His task is to integrate the team in the SCS business, which was previously operated in silos (legacy from acquisitions). There were a lot of overlaps on the cost side, and it needs to consolidate and improve its operating efficiencies.
- Mr. Zhu aims to build a borderless sourcing and production platform. 1) The new sourcing & production platform (SPP) is divided into four regions, namely Greater China, ASEAN & Korea, Latin America and India subcontinent. They report to the COO. 2) It consolidated QC teams into local teams. 3) It is establishing an HK sourcing office.

3. 3D virtual design: to help retailers combat headwinds in sales & margins

- During the Investor Day, management suggested the following solutions to retailers who are facing headwinds with sales and margins under pressure. Management reiterates that 3D virtual design is the way forward and it is changing the game.

Figure 3: Headwinds and solutions for retailers

Issues	Solutions
Online effect	Need improved products & design to counter scale advantage of online channel
Omni-channel acceleration	More SKUs, lower order size and MOQs
Speed to market wins	New speed models and calendar impact
Rising costs	Need to optimize sourcing footprint, leverage scale and eliminate waste
Changing global economics	Sudden and unpredictable shifts in global trade - need geographic agility
Consumers demand more	Sustainable and ethical sourcing, eco-friendly practices, traceability
Data, data, data... digital	Integration of consumer analytics into design and supply chain

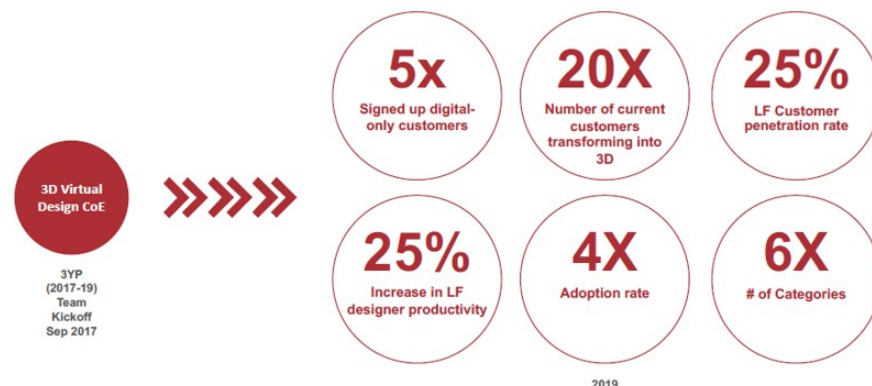
Source : 2019 Investor Day company presentation, 3D virtual design update

- 3D virtual design platforms have an impact on speed, innovation, sustainability and sampling. From its inception in 2017, 3D design now covers 25% of LF's customers. A small portion is a paid model. In a case study with two clients, it saw a 47% reduction in overall lead time to market.

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Figure 4: Evolution of LF 3D Virtual Design



Source : 2019 Investor Day company presentation, 3D virtual design update, page 7

- **LF has started to charge customers** (but not all of them who use such services). For new customers, it is a paid model, based on either a per style or a digital platform subscription, while for existing customers, it is an add-on value-added service. In fact, the services save costs on both the retail and vendor sides, resulting in the ability to construct market-competitive pricing.
- It will use this service to attract new customers (who will pay for the services) and leverage its capability with existing customers (i.e. opening strategic conversations with them). The momentum is expected to accelerate in 2020.

4. Logistics continues strong momentum with multiple growth drivers

- **Its focused approach has been a part of LF since 2011.** It started logistics in 1999 and focused on four core verticals (footwear and apparel, food and beverages, FMCG, and health care); three channels (bricks & mortar commerce in 1999, e-commerce - 2009, and trade partner channels - started 5 years ago like PDD); two streams (in housing logistics and global freight) and one region (Asia).
- LF Logistics' potential market - USD103bn of economic activity was transferred to the China logistics industry in 2017. This grew to USD150bn in 2018 and potentially USD200bn in 2019. This is just China, and doesn't include other Asian countries' potential.

Figure 5: USD103bn of economic activity transferred to China logistics industry in 2017

15% of retail sales moved online in China	USD6bn rental income in distribution centers
40bn orders pick and packed	USD20bn logistic revenues (assuming USD0.5 per order)
10bn orders taken home	USD77bn courier revenues

Source : 2019 Investor Day company presentation, business update; China State Post Bureau (SPB) China Warehousing Industry Blue Book 2016

- **Other ongoing and potential opportunities include:** 1) capitalizing on opportunities in the Greater Bay Area (70mn population) - LF is one of the key logistics companies in Qianhai where CIQ and customs are cleared at one location; 2) serving the new middle class in Asia (from 2020-2030, World Data Lab projects an increase of 1bn in the global middle income class population, of which 90% will be in Asia); 3) it is entering new

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geographies like Vietnam, Indonesia, Japan, Korea, and recently Australia, and verticals like electronics; and 4) fundraising to digitalize and automating to increase productivity - **the separate listing plan is on track (i.e. before 2019).**

5. Solid capital structure and strong operating cash flow

- **Current status – three building blocks**, namely **SCS** (restructuring underway for analog business and developing digitalization), **onshore wholesale** (focus on profitability with stabilized sale trend) and **logistics** (continues to see DD growth with strong momentum in e-logistics and expanding in new geographies). This is supported by an optimized capital structure and deleveraging.
- After investing USD20mn and USD60mn for 2017 and 2018, **it will spend USD60mn-plus in digitalization investment in 2019.**
- It will continue to **deleverage its balance sheet.**
- For its SCS business, LF reduced its opex by USD86mn yoy to USD502mn in 2018. **It will continue to drive productivity with reduction in its opex.**

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Appendix 1

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Company	Ticker	Recent price*	Disclosure
Li Fung	0494.HK	1.11 (HKD) 14 Jun 2019	NA

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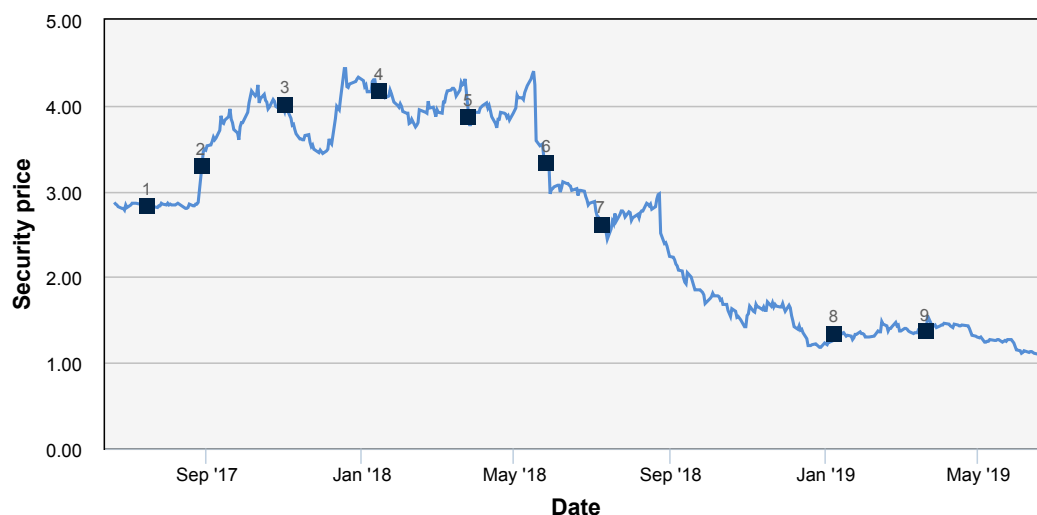
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Historical recommendations and target price: Li Fung (0494.HK)

(as of 06/17/2019)



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Hold
Sell
Not Rated
Suspended Rating

** Analyst is no longer at Deutsche Bank

- | | | |
|----|------------|--|
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| 2. | 08/28/2017 | Hold, Target Price Change HKD 3.64 Anne Ling |
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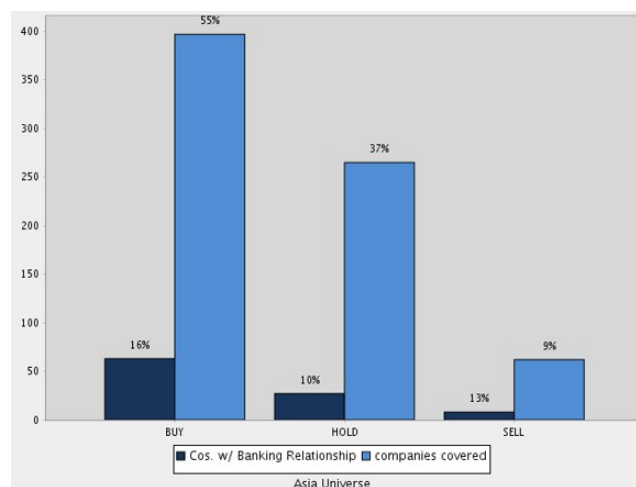
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